Practice workbook · Statement of financial position from incomplete records

A sole trader's year-end statement of financial position, or its equity section, when opening capital, bank or profit must be worked out first.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-10

1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

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P 7 5 8 3 9 A 0 7 1 2

7

Turn over

1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.



1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

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1. Question 2 · part a.ii · 15 marks · Working and answer

Working and answer

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2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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2. Question 1 · part c · 5 marks · Working and answer

Working and answer

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3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

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3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

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3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

(Total for Question 1 = 25 marks)

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3. Question 1 · part b · 10 marks · Working and answer

Working and answer

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4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

2 Ed, a sole trader, provided the following information.

Balance at 1 May 2022	**$**
Fixtures and fittings – cost – provision for depreciation	 123 500 55 575
Bank	1 680
Inventory	25 500
Other payables	1 400
Trade receivables	76 000
Trade payables	25 100

(a) Calculate the equity at 1 May 2022. **(3)**

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4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

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Balance at 30 April 2023	$
Fixtures and fittings – cost – provision for depreciation	 275 000 96 825
Bank	2 650 Cr
Bank loan (2030)	75 000
Inventory	17 600
Other payables	1 900
Trade receivables	86 500
Trade payables	18 540

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

Ed
Statement of Financial Position at 30 April 2023

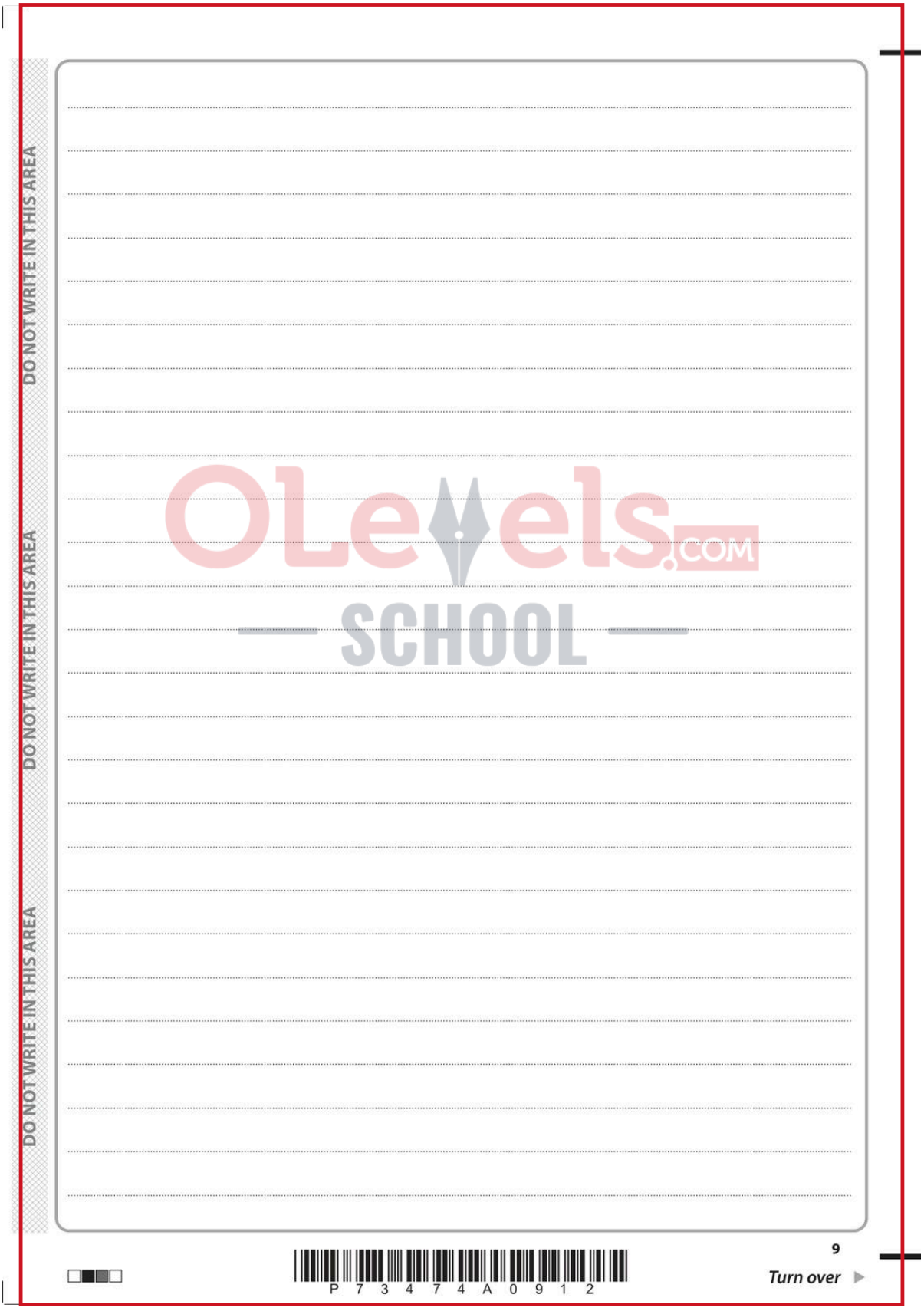
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4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.



4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

(5)

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(Total for Question 2 = 25 marks)

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4. Question 2 · part b · 17 marks · Working and answer

Working and answer

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5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

1 Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

Balance at 1 September 2023	$
Bank	21 550
Inventory	39 500
Motor vehicles – carrying value	30 000
Other payables – general expenses	1 750
Trade payables	37 500
Trade receivables	48 200

Bank summary

Receipts	$	Payments	$
Trade receivables	215 000	Trade payables	135 125
		Drawings	21 900
		Wages	10 550
		General expenses	16 125
		Motor expenses	8 900

Additional information at 31 August 2024

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

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5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

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(a) Calculate, at 31 August 2024, the:

(i) trade receivables

(4)

(ii) trade payables.

(3)

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5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

Romala
Statement of financial position at 31 August 2024

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5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

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5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

Romala is concerned about the number of irrecoverable debts and is considering creating a provision for irrecoverable debts.

(b) Discuss, referring to appropriate accounting concepts, whether Romala should create a provision for irrecoverable debts.

(5)

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(Total for Question 1 = 25 marks)

5. Question 1 · part a.iii · 13 marks · Working and answer

Working and answer

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